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Autos & Shared Mobility | Europe

Cheap As Chips – Tactical Upside in a Structural Downturn

A barrage of headwinds has driven sustained underperformance for Auto OEMs. As market caps tread below industrial net cash levels, we think bad news is increasingly becoming priced in. We see tactical bounceback opportunities for post-profit warning OEMs such as BMW.

The automotive sector could be approaching a cyclical trough. SXAP has materially underperformed the broader European market as pressure has mounted from China weakness, US tariff risk, Chinese OEMs in Europe, Middle-East driven inflation and higher-for-longer interest rates. The sector is now back near the 430 level, which has acted as a support level over the past decade, while earnings expectations are approaching non-Covid lows.

Market capitalisations have sunk below net industrial cash levels. Several OEMs, including BMW, VW and Renault, now trade at market caps below their industrial net cash, before even giving credit for financial services or truck assets. At the same time, dividend yields are near all time highs, and P/B is close to all-time lows. Supplier stocks have outperformed OEMs, and are trading much more in line with historical averages.

Catalysts point to tactical upside in a structural downturn. We think several potential catalysts could help improve sentiment in the sector, including reports of EU tariffs on Chinese PHEVs, reduced US/MX/CA tariffs, local-content rules from the EU Industrial Accelerator Act, and any signs that China weakness is no longer accelerating. After a prolonged period of negative earnings revisions, we think a stabilisation in earnings expectations could be enough to drive a tactical bounceback in the sector.

We stay selective, but become tactical buyers on profit warnings. We still see risk to FY26 guidance and do not think the structural challenges are out of the picture – however, we expect that profit warnings could mark the point at which bad news is more than reflected in the share price. We would focus on the OEM laggards with valuation support, particularly BMW, Mercedes-Benz, and Volkswagen. Key risks are that this is not yet the trough: Chinese OEM pressure may persist in China, Europe and RoW, sticky inflation and higher-for-longer rates could continue to pressure affordability, and further free cash flow deterioration could raise questions around dividends and buybacks.

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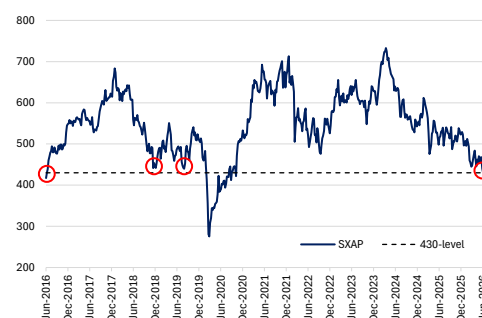
AUTOS & SHARED MOBILITY

Europe

Industry View

In-Line

Exhibit 5 : Auto stocks have continued to underperform the market in 2026. SXAP is now close to 430, a level which has represented a historical support



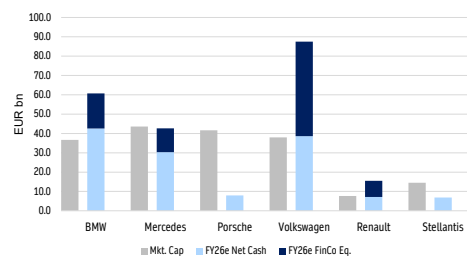
Source: Refinitiv Eikon, Morgan Stanley Research

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Exhibit 8 : BMW, MBG, VW, and Renault's market caps are particularly low compared to industrial net cash + FinCo levels



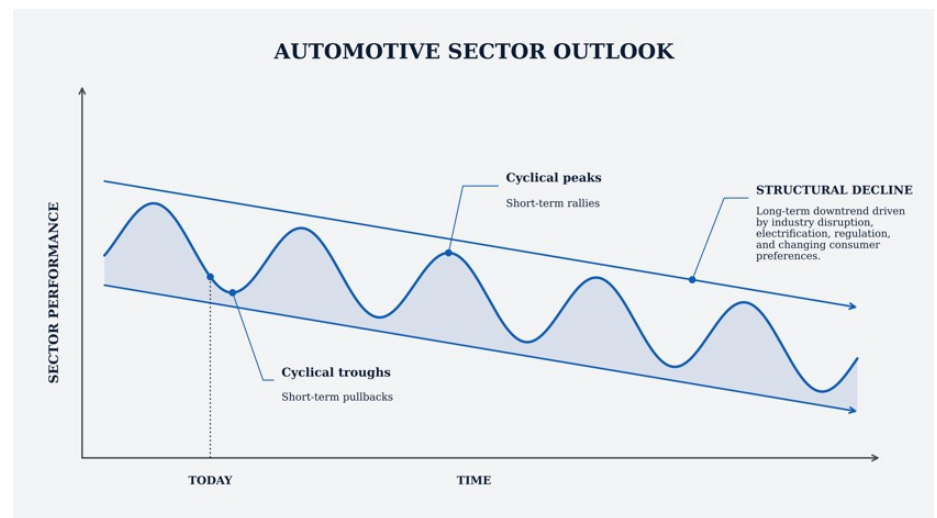
Source: Datastream, Morgan Stanley Research estimates

Tactical upside

Tactical upside in a structural downturn. SXAP has materially underperformed the broader European market as pressures have mounted from macro concerns, to China weakness, US tariff risk, Chinese OEMs entering Europe, and Middle East-related cost pressures. We still see European autos as structurally challenged, but with SXAP back near the 430 support level, earnings expectations approaching decade lows (excl. C19), and several OEMs trading below industrial net cash, we think it is reasonable to play temporary bouncebacks.

Buy OEMs (BMW, Mercedes-Benz, VW) on profit warnings. A few potential positive catalysts face the sector, in the form of Chinese PHEV tariffs, lower US/MX/CA tariffs, and local content rules from the EU Industrial Accelerator Act. These predominantly benefit the OEMs, which have underperformed the market the most YTD, whilst suppliers and tires have outperformed. We think the upside opportunity now lies with OEM stocks – in particular those supported by weak performance and low valuations – pointing us to BMW, Mercedes-Benz, and VW. Critically, we still see some risk to FY26 guidances, prompting us to be tactical buyers after any profit warnings.

Exhibit 3: Although the auto industry faces sustained structural headwinds, we think cyclical troughs could present temporary opportunities for tactical upside



Source: Morgan Stanley Research

SXAP has significantly underperformed the market

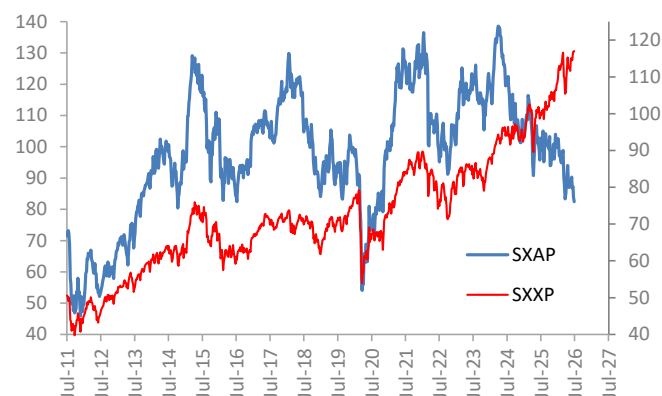
SXAP has significantly underperformed the broader European market. The pressure started in 2024 with price/mix normalisation on weaker consumer demand, higher financing costs, softer discretionary spending and fading confidence in the durability of auto margins. As time progressed, the debate shifted toward China, where pricing pressure, weaker mix and intensifying local competition from Chinese OEMs put sustained pressure on earnings expectations.

The next leg of underperformance came from tariff and trade uncertainty. US tariff risk created a new source of potential margin leakage, particularly for OEMs with complex North American production footprints across the US, Mexico and Canada. At the same time, the market became more concerned that Chinese OEMs would not only pressure European carmakers in China, but increasingly bring that pressure into Europe through lower-cost, aggressively-priced EVs and PHEVs.

The list of headwinds has now broadened further. Tensions in the Middle East have added pressure through oil, freight and supply-chain risk, while higher inflation, higher interest rates and rising input costs have reinforced the squeeze on both demand and margins. This creates a difficult combination for autos: consumers face worsening affordability, OEMs face higher cost bases, and investors see less confidence in earnings resilience.

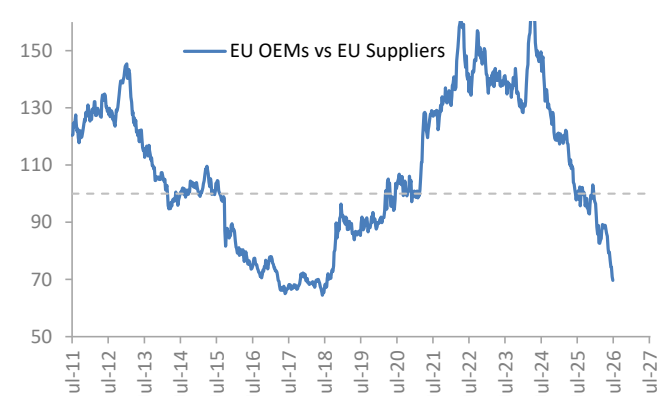
We think underperformance has reached a critical level. We still think European autos are structurally challenged, driven by Chinese competition and regulatory pressures, but we think the tactical question is different at this point. If the earnings outlook is now closer to a cyclical trough, and if estimates stop falling rather than continue to be revised lower, then even without a strong recovery in earnings, depressed positioning, low valuations and a less negative revisions cycle could create tactical opportunities, particularly in the high-beta OEMs that have led the decline.

Exhibit 4: The European Auto sector has materially underperformed the European stock market (100 = -1Y)



Source: Datastream, Morgan Stanley Research

Exhibit 5: OEMs vs Suppliers: the decline has been led by OEMs, relative performance now nears the lows



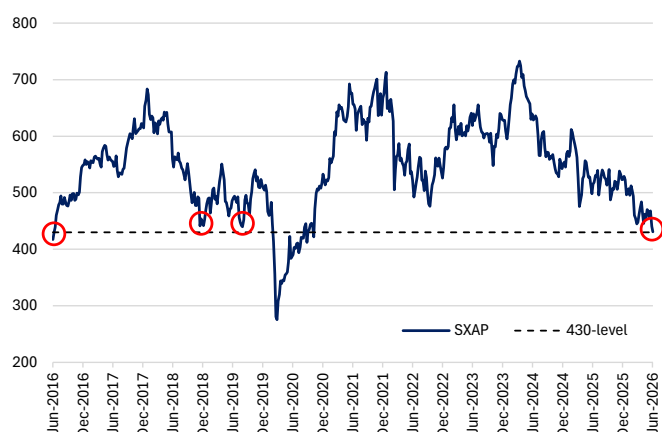
Source: Datastream, Morgan Stanley Research

The 430 level is a historical SXAP trough

The 430 level has acted as a support for SXAP. The automotive index is now back around the 430 level, which has acted as a natural support area for SXAP over the past decade. The sector has tested this level several times and has often found buyers around it. We think this creates an opportunity – we do not disagree that the sector is undergoing a structural downturn, but we question whether the market has now priced in more bad news than is presented in current conditions. With SXAP back at this support zone, earnings expectations close to prior non-Covid lows, and market capitalisations below industrial net cash for several companies, we expect investors to start to look for tactical opportunities for upside.

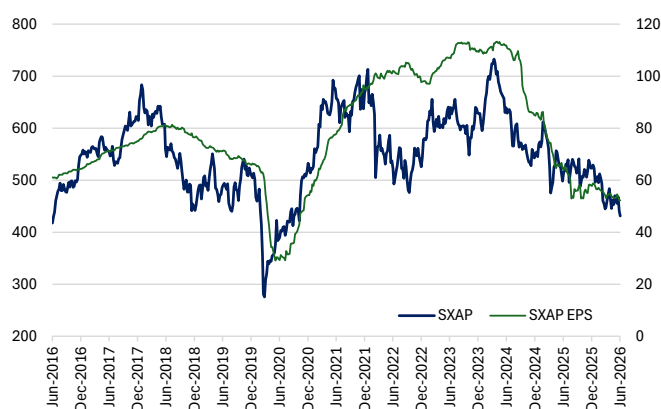
Sector performance is tightly linked to earnings expectations. Since 2024, SXAP has continued to underperform the market, driven by falling EPS expectations. Earnings expectations now appear to be approaching the lower end of the 10-year range, excluding the Covid trough. We think it's important to recognise this does not mean earnings need to recover sharply for the stocks to work. We think it may be enough for earnings expectations to stabilise, supported by some potential upcoming positive catalysts.

Exhibit 6: After sustained underperformance SXAP is now back near 430, the lowest level since Covid, and somewhat of a support level in the past 10y period



Source: Refinitiv Eikon, Morgan Stanley Research

Exhibit 7: Auto stock performance is driven by earnings expectations – since 2024, these have continued to decline for the sector



Source: Refinitiv Eikon, Morgan Stanley Research

Valuations approaching the lows

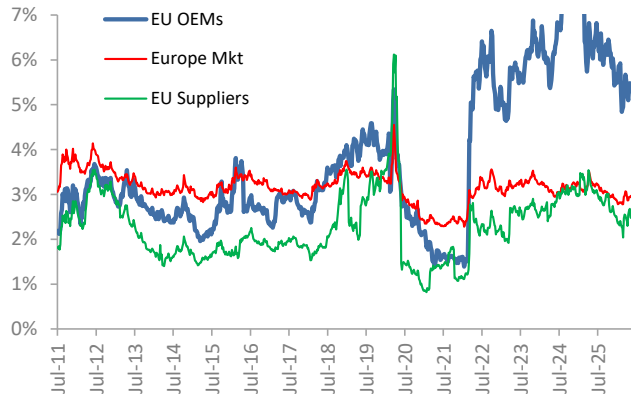
Cheap as chips. Several OEMs within the sector (BMW, VW and Renault) are now trading with market caps below their industrial net cash levels, before consideration of other assets such as the financial services companies and stakes in truck businesses. We would consider this to be an extreme signal: the market is effectively giving limited, or no credit for the core industrial businesses once net cash is taken into account. It suggests investors are pricing in an extremely depressed earnings outlook. Whilst we agree that the sector faces a structural downturn, we think the decline will be gradual, and current valuations overestimate the speed of decline. Other metrics present a similar picture, with EU OEMs trading close to all-time lows on P/B, suggesting the market is assigning very little value to the asset base. The suppliers are not showing the same degree of valuation stress, with supplier P/B still broadly in line with historical averages. This reinforces the broader argument that the valuation opportunity sits more clearly in OEMs than suppliers, following a large relative underperformance.

Dividend yields peaking. European OEM dividend yields remain high versus both suppliers and the broader European market. The sector continues to offer a material shareholder return while trading at depressed valuations. Of course, the key risk is whether dividends prove sustainable if earnings continue to fall, but if earnings expectations stabilise rather than keep declining, then the high yield becomes part of the tactical support case.

P/E is less compelling as a standalone argument. OEMs look closer to long-term average levels on P/E, but P/E can be a misleading valuation tool around cyclical peaks and

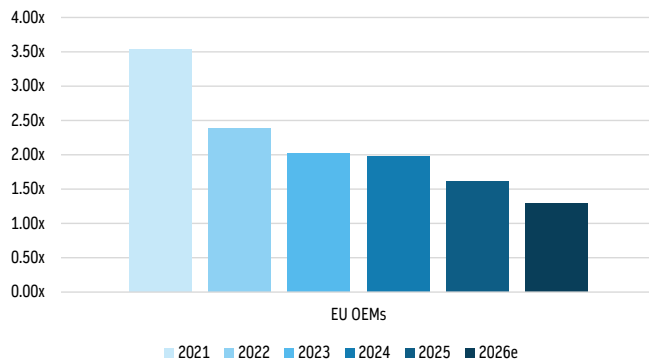
troughs. At peak earnings, low P/E can be a value trap because the “E” is too high. At trough earnings, P/E can also look optically uninteresting because the “E” is depressed.

Exhibit 8: Dividend yield: OEM vs Suppliers vs European market (%)



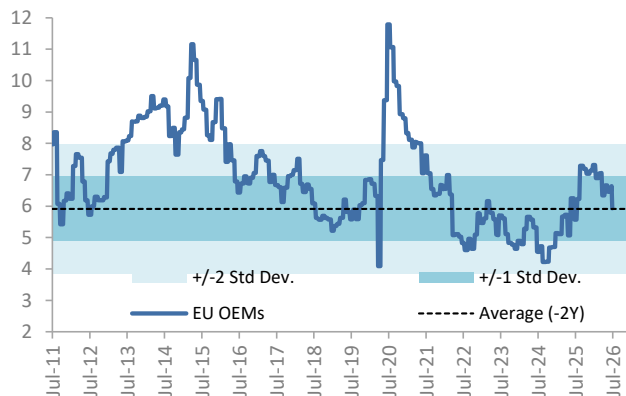
Source: Datastream

Exhibit 10: European OEMs market cap / net cash ratios have been steadily declining over the years



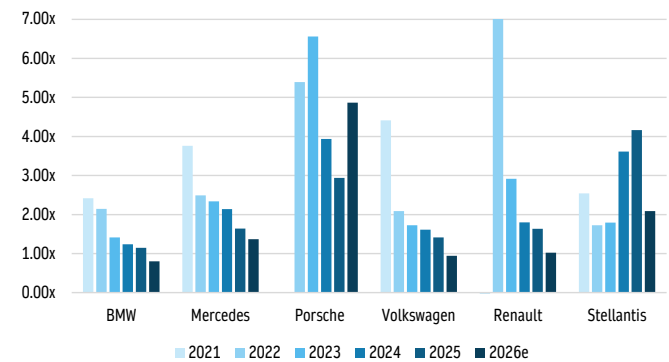
Source: Company data, Datastream, Morgan Stanley Research estimates

Exhibit 12: EU OEM P/E: in line with long term averages



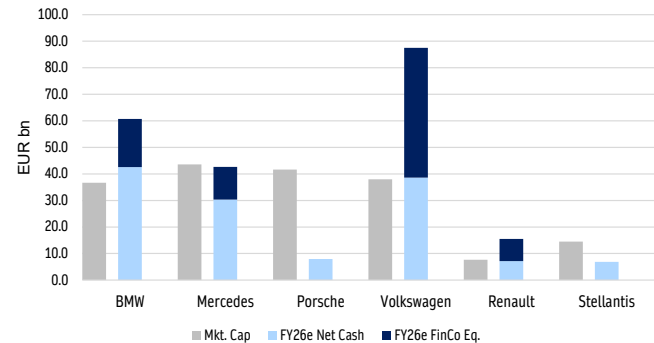
Source: Datastream

Exhibit 9: OEMs: Ind. Net Cash/Market Cap now below 1x for BMW, VW and Renault



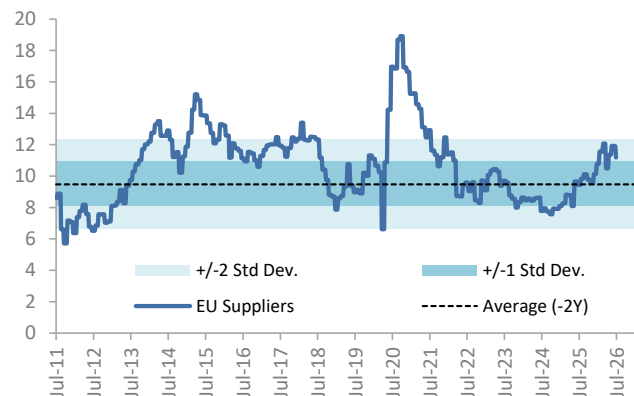
Source: Company data, Datastream, Morgan Stanley Research estimates

Exhibit 11: BMW, MBG, VW, and Renault's market caps are particularly low compared to industrial net cash + FinCo levels

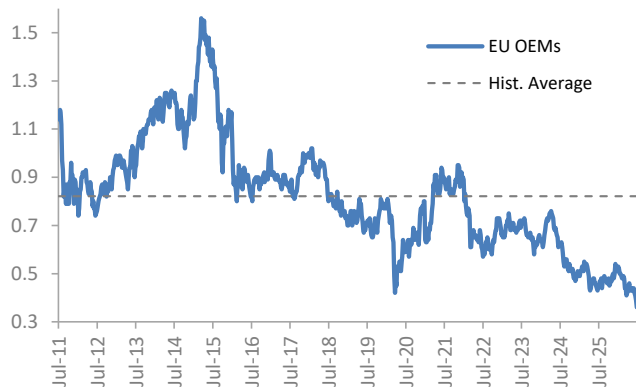


Source: Datastream, Morgan Stanley Research estimates

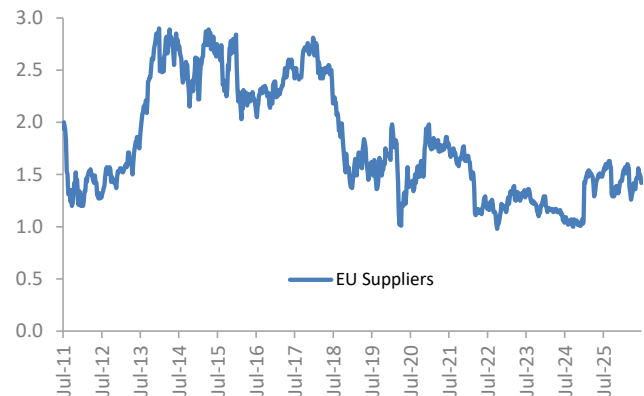
Exhibit 13: EU Suppliers P/E: headed towards the high end of the historical range



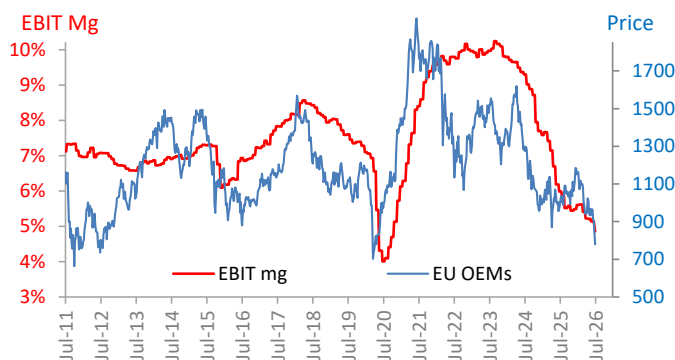
Source: Datastream

Exhibit 14: P/BV: EU OEM valuations are at their all-time lows

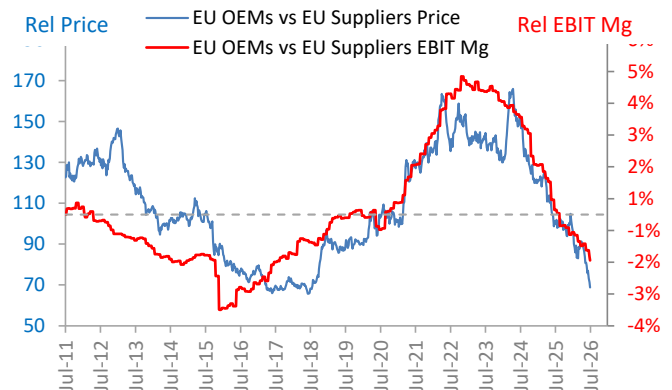
Source: Datastream

Exhibit 15: P/BV: EU Suppliers still trading in line with historical averages...

Source: Datastream

Exhibit 16: ... following a large EU OEMs fall ...

Source: Datastream

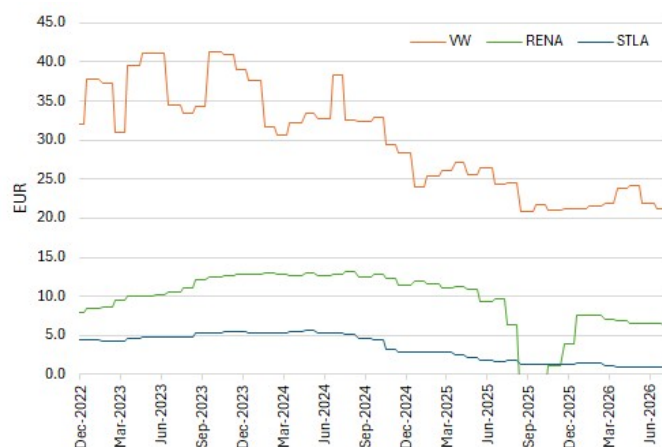
Exhibit 17: ... and a large EU OEMs vs APs relative underperformance

Source: Datastream

Potential positive catalysts

A stabilisation in earnings expectations is already an improvement in sentiment.

Middle East concerns, pressure from Chinese OEMs, and continued macroeconomic challenges have driven continued weakness in the auto sector. As a result, earnings expectations, the key driver of share price performance, have declined across the sector. Whilst we think the sector remains in a structural downturn, we think we could be approaching a cyclical trough, creating opportunity for an earnings stabilisation story rather than a full upgrade cycle. After a prolonged period of negative revisions, we think the sector does not need estimates to rise sharply for the stocks to bounce. We think the market only needs to gain confidence that the moving pieces that have been driving downgrades are no longer worsening, even if that is only a temporary effect. We see several potential catalysts on the horizon that could momentarily improve the narrative in the sector, thereby driving rallies in selected names.

Exhibit 18: NTM EPS trends: mass market OEMs

Source: Datastream

Exhibit 19: NTM EPS trends: premium OEMs

Source: Datastream

New tariffs incoming for Chinese OEMs. The EU's existing [countervailing](#) duties already cover Chinese BEVs, with additional duties of up to 35%. So far, these duties excluded PHEVs. [Reuters](#), citing Handelsblatt, has reported that the European Commission is preparing countervailing duties on Chinese hybrid vehicles from manufacturers such as BYD, Chery and SAIC, pending member-state approval. The EC did not comment on the article. Should these tariffs go ahead, then this would reduce the competitiveness of Chinese OEMs in the PHEV segment, which is a much larger market than BEVs, and also represents a market where Chinese OEMs have rapidly taken share. The introduction of such tariffs would reduce the pricing pressure for European OEMs, supporting margins and stabilising earnings expectations.

Reduced US/MX/CA tariffs could provide meaningful support to the sector. A softer North American tariff outcome could be a meaningful earnings improvement catalyst. US/MX/CA tariffs are now an outlier within the US auto tariff framework, as exporters such as the EU, Japan and Korea sit at 15%, and the UK has secured a 10% rate. Canada and Mexico remain exposed to a 25% auto tariff, with relief only where vehicles or parts qualify under USMCA. This creates a disproportionate earnings headwind for OEMs with integrated North American production footprints. If US/MX/CA tariffs moved closer to the 15% framework applied to most other major auto exporters, then we could see an immediate improvement in overall market sentiment.

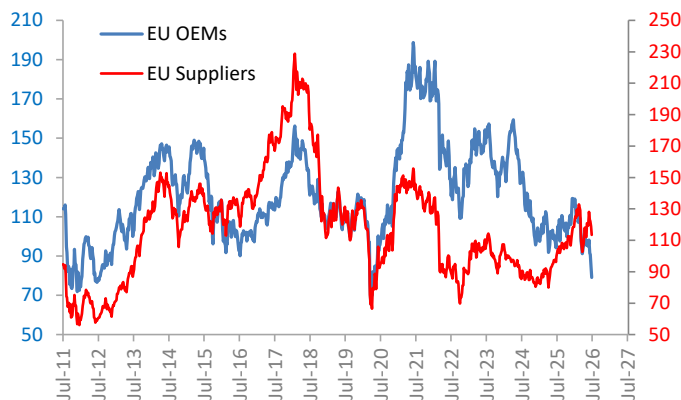
The EU Industrial Accelerator Act could provide a more supportive regulatory backdrop. The IAA could help stabilise earnings expectations by shifting the policy backdrop toward active support for European production. The Commission's [proposal](#) introduces targeted "Made in EU" and low-carbon requirements for public procurement and public support schemes in strategic sectors, including cars, batteries and other net-zero technologies, with the aim of boosting demand for European-made products and reducing dependency on non-EU suppliers. For autos specifically, the relevance is that local-content rules could create a clearer demand pool for European-built EVs and European-made batteries, especially through company car tax incentives, public procurement and subsidy-linked schemes. We think the IAA implementation could reduce the risk of further downward revisions, as it would partially offset the China competitive threat by making access to subsidies dependent on European content. There are still risks

around loopholes, administrative burden and final legislative design, but if the IAA creates a more durable local demand base for European xEVs, then this could support sentiment for the industry.

Reversal of Fortunes: OEMs over Suppliers

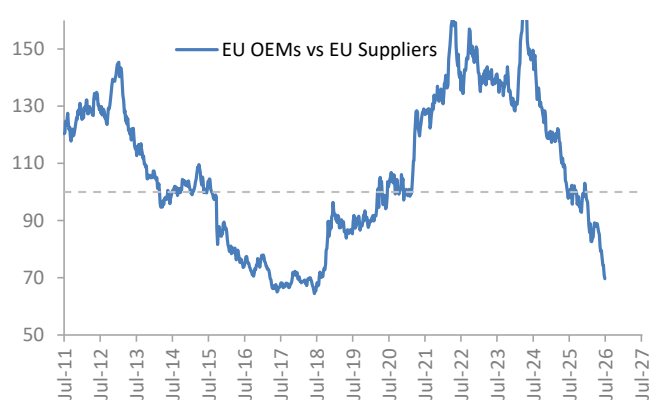
We think OEMs could outperform Suppliers from here. We think an opportunity for a tactical bounceback looks more compelling in the OEM stocks than suppliers, given valuations and the scale of OEM underperformance, with relative performance now close to historical lows. Supplier stocks have held up much better in recent years, while OEMs have absorbed the brunt of the pressure from China, weak margins, and tariff uncertainty. We think the factors most likely to drive a tactical rebound should benefit OEMs more directly: EU tariffs on Chinese PHEVs would ease the competitive pressure on European carmakers, reduced US/MX/CA tariffs would support US earnings, the EU Industrial Accelerator Act could improve unit economics, and China market stabilisation would be most impactful for the names most exposed to the region. Tyres and other supplier subsegments have outperformed this year, but that now looks at risk if our view of a tactical bounceback plays out. In such a scenario we would expect investors to seek higher beta, OEM exposure in favour of lower beta exposures such as Tyres. There is scope for a reversal of the fortunes where the weakest performing OEMs, especially mass market names, outperform as margin expectations stop falling and investors rotate back into cyclical. Examining the valuation and performance trends, this highlights names such as BMW, Mercedes-Benz, and Volkswagen – post potential profit warnings.

Exhibit 20: OEMs vs Suppliers: Supplier stocks have held up better in recent years

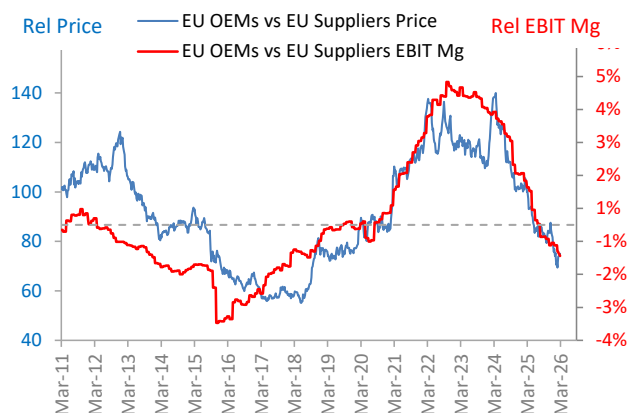


Source: Datastream, Morgan Stanley Research

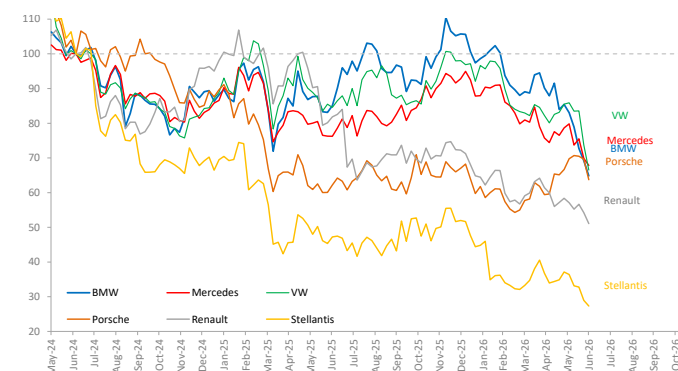
Exhibit 21: OEMs vs Suppliers: OEMs relative performance now near historical lows



Source: Datastream, Morgan Stanley Research

Exhibit 22: Margin expectations are the key drivers of performance

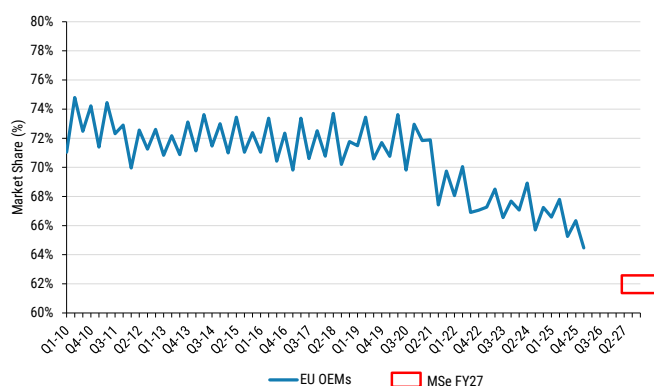
Source: Datastream

Exhibit 23: Stellantis, Renault and Porsche underperformed in the last 2Y

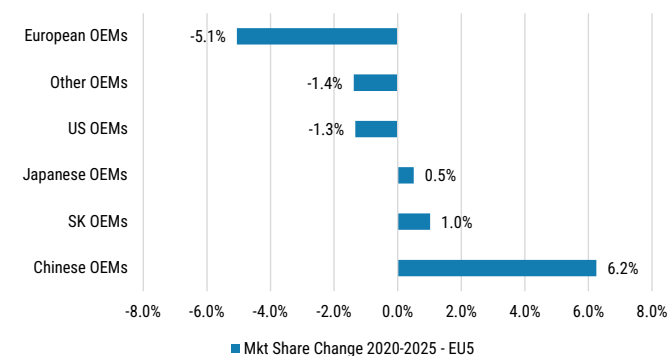
Source: Datastream, Morgan Stanley Research

Where could we be wrong?

Are we really at the bottom? Our tactical view hinges on a cyclical trough forming within a structural downturn. Timing such troughs is incredibly complex, and the competitive and macro pressure facing European OEMs may prove to be more persistent than the market is currently assuming. The key risk is that Chinese OEM pressure does not abate: share losses and pricing pressure continue in China, while the next leg of pain comes from Chinese OEMs coming to Europe with lower-cost EVs and PHEVs, now armed with stronger local distribution and production. Further, whilst the outlook for economic growth remains stable, inflation expectations have increased, with interest rates subsequently likely to stay at high levels. Auto OEMs tend to struggle when inflation is sticky because higher-for-longer rates make vehicle financing more expensive, and pressure consumer demand. Finally, any deterioration in free cash flow could raise questions around shareholder returns, removing one of the key supports for the sector's investment case.

Exhibit 24: European OEMs have continued to see their market share in Europe decline – consensus, optimistically, assumes this ceases

Source: Local Auto Associations, Morgan Stanley Research estimates. Notes: 1) This chart includes Germany, UK, France, Italy and Spain auto sales. 2) This chart includes as EU OEMs: Stellantis, VW, Renault, MBG, BMW, Porsche, Iveco, Lada, Ferrari.

Exhibit 25: European OEMs have lost more share vs Chinese OEMs than any other global group. We think market share losses continue from here

Source: Local Autos Associations, Morgan Stanley Research

Exhibit 26: Key European market (EU5) trends and OEM exposure

EU market	Status	EU OEM Market Share (2020-25)	Ch OEM Market Share (2020-25)	Notable trend	OEM exposure	Characteristics
Norway	Red	EV Reg decline, from 0% to 45%	EV Reg gain, from 10% to 18%	Broad-based market share losses across European, Japanese, US, South Korean OEMs European OEMs share losses decelerating in recent years	AI	Highest European EV penetration
Spain	Red	EV Reg decline, from 0% to 45%	EV Reg gain, from 2% to 11%	European OEM share losses accelerating for three consecutive years Renault grew share during the period despite strong Chinese OEM growth	Renault	Poco sensitive European market
Italy	Red	EV Reg decline, from 0% to 45%	EV Reg gain, from 2% to 9%	European OEM share losses decelerating in recent years European OEM market share losses do not appear to be decelerating	Stellantis	Strong incumbent brands Rising vulnerability Strong EV exposure
UK	Red	EV Reg decline, from 0% to 45%	EV Reg gain, from 4% to 14%	European OEM share losses across mass market and premium OEMs Renault grew share during the period despite strong Chinese OEM growth	BMW	Lack of targeted to BEVs Loss of mass incumbent brand
EU5	Yellow	EV Reg decline, from 0% to 45%	EV Reg gain, from 2% to 9%	European OEMs have consistently lost market share over the past five years Chinese OEMs market share gains are accelerating	AI	40% of European volume
France	Green	EV Reg decline, from 0% to 45%	EV Reg gain, from 2% to 4%	Renault, Volkswagen grew share during the period despite strong Chinese OEM growth European OEMs gaining from strategic Chinese players	Renault and Stellantis	Strong incumbent brands Rising vulnerability Strong EV exposure
Germany	Green	EV Reg gain, from 70% to 77%	EV Reg gain, from 2% to 5%	Only market with growing share for EU OEMs, led by Volkswagen Chinese OEMs continue to gain, at expense of South Korea and US players	BMW, Mercedes-Benz, Porsche, Volkswagen	Strong incumbent brands High brand value Strong premium offering

Source: Local auto associations, Morgan Stanley Research

Exhibit 27: Chinese OEMs are significantly exposed to SUV sub-segments

Segment/Type	2025	% of total sales
C-SUV	372,096	32%
D-SUV	276,874	24%
B-SUV	200,479	17%
B-Hatchback	100,443	9%
E-SUV	53,005	5%
C-Hatchback	26,915	2%
Other	122,892	11%

Source: S&P Global, Morgan Stanley Research. Note: West and Central Europe only

Comps

Exhibit 28: Global OEMs valuation table

Prices date: July 6, 2026	Mkt Cap		Price		MS Rating	EPS			Revenue CAGR 25-27E	EBIT margin		EV/EBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue			
	Crrc.	US\$ mn	Last	Target		2025	2026E	2027E		2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E		
OEMs		2,802,299							9%	6%	6%	267.6x	168.9x	56.0x	47.9x	299.4x	187.5x	3.1%	3.5%	8.8x	7.5x		
Europe		218,010							0%	5%	6%	8.7x	6.5x	3.0x	2.9x	11.4x	13.2x	5.3%	5.8%	0.5x	0.5x		
BMW	EUR	45,631	60.6	91.0	OW	12.4	9.5	10.9	1%	6%	7%	1.8x	1.7x	0.9x	0.9x	7.0x	6.2x	5.7%	6.6%	0.1x	0.1x		
Mercedes	EUR	49,557	45.2	65.0	OW	5.3	5.8	7.4	2%	6%	7%	2.7x	2.3x	1.4x	1.3x	7.9x	6.3x	7.7%	8.1%	0.2x	0.2x		
Stellantis	EUR	16,322	4.9	7.1	EW	(7.7)	(0.5)	0.1	2%	1%	2%	17.9x	7.8x	3.2x	2.5x	n.m.	60.9x	0.0%	0.6%	0.2x	0.2x		
Renault	EUR	8,746	26.4	29.0	UW	(40.0)	6.0	6.0	0%	4%	4%	1.1x	1.1x	0.4x	0.5x	4.6x	4.6x	6.1%	7.3%	0.0x	0.0x		
Volkswagen	EUR	42,825	74.7	100.0	EW	13.3	19.2	22.1	1%	4%	5%	n.m.	n.m.	n.m.	n.m.	3.9x	3.4x	8.2%	9.4%	n.m.	n.m.		
Porsche	EUR	47,682	46.0	42.0	UW	0.5	1.7	2.1	-2%	7%	8%	20.2x	16.6x	7.3x	7.3x	27.5x	22.3x	2.2%	1.8%	1.3x	1.3x		
Aston Martin	GBP	522	0.4	NA	N.C.	(0.4)	(0.2)	(0.1)	11%	n.m.	n.m.	n.m.	n.m.	6.1x	4.9x	n.m.	n.m.	0.0%	0.0%	1.2x	1.1x		
Volvo Car	SEK	6,723	21.9	NA	N.C.	0.1	2.7	4.2	-3%	3%	4%	5.3x	3.4x	1.6x	1.4x	8.8x	5.7x	0.0%	0.5%	0.2x	0.2x		
North America		1,670,030							9%	4%	6%	424.5x	265.6x	86.1x	73.5x	486.1x	304.5x	2.6%	2.7%	13.7x	11.6x		
Ford Motor	USD	53,235	13.4	14.0	EW	(3.2)	1.6	1.8	3%	5%	5%	16.2x	14.6x	10.2x	9.3x	8.1x	7.3x	4.5%	4.5%	0.8x	0.8x		
General Motors	USD	68,527	76.0	100.0	OW	2.1	13.0	14.8	1%	7%	8%	5.0x	4.2x	3.0x	2.7x	5.8x	5.2x	n.a.	n.a.	0.4x	0.3x		
Tesla Motors	USD	1,477,688	393.5	415.0	EW	1.1	0.8	1.2	10%	3%	4%	476.9x	298.3x	95.8x	81.7x	547.0x	342.1x	n.a.	n.a.	15.1x	12.7x		
Harley-Davidson	USD	2,627	25.0	15.0	UW	2.7	0.2	1.0	-3%	n.m.	3%	n.m.	37.5x	22.9x	15.2x	122.9x	24.9x	3.0%	2.6%	0.9x	1.1x		
Ferrari	USD	67,953	385.0	438.0	OW	9.0	9.5	10.8	7%	30%	30%	27.3x	22.5x	20.7x	18.6x	35.3x	31.7x	1.1%	1.3%	8.1x	7.4x		
Japan		284,255							4%	6%	7%	18.1x	12.2x	8.7x	7.6x	8.9x	7.6x	3.5%	3.8%	0.9x	0.9x		
Subaru	JPY	11,158	2,516	2,500	EW	125	234	272	6%	3%	4%	3.9x	2.4x	1.5x	1.0x	11.1x	10.1x	4.6%	4.8%	0.1x	0.1x		
Honda Motor	JPY	37,409	1,550	1,600	EW	(106)	163	280	5%	3%	5%	23.5x	12.7x	8.1x	5.9x	9.5x	5.6x	4.4%	4.6%	0.7x	0.6x		
Isuzu Motors	JPY	9,860	2,314	1,900	UW	193	220	250	4%	6%	6%	8.7x	7.9x	5.6x	5.1x	10.7x	9.9x	3.9%	4.2%	0.5x	0.5x		
Mazda Motor	JPY	4,459	1,140	1,200	EW	170	172	222	7%	2%	3%	n.m.	n.m.	n.m.	n.m.	6.6x	5.1x	4.7%	4.8%	n.m.	n.m.		
Mitsubishi Motors	JPY	2,770	334	400	EW	24	36	35	5%	3%	2%	3.7x	3.9x	1.7x	1.8x	9.3x	9.7x	2.9%	2.9%	0.1x	0.1x		
Nissan Motor	JPY	6,787	313	400	EW	(26)	23	38	3%	0%	1%	156.1x	34.4x	11.6x	9.1x	13.4x	7.2x	0.0%	0.0%	0.5x	0.5x		
Suzuki Motor	JPY	25,240	2,110	2,600	OW	228	190	200	9%	8%	8%	3.5x	2.7x	2.5x	1.9x	11.1x	10.6x	2.4%	2.5%	0.3x	0.2x		
China		316,955							12%	6%	7%	12.8x	9.2x	6.7x	4.7x	17.5x	16.3x	2.7%	3.5%	0.7x	0.6x		
Anhui Jianghuai	CNY	8,707	26.2	NA	N.C.	(0.8)	0.7	2.4	53%	2%	6%	38.2x	10.1x	19.8x	8.7x	33.5x	10.8x	0.2%	0.4%	0.9x	0.6x		
BAIC Motor	HKD	858	0.8	2.2	EW	0.1	0.2	0.3	5%	9%	9%	n.m.	n.m.	n.m.	n.m.	3.2x	2.1x	0.0%	0.0%	n.m.	n.m.		
BAIC BluePark	CNY	4,573	4.9	5.5	UW	(0.8)	(0.1)	(0.1)	8%	n.m.	n.m.	n.m.	n.m.	13.7x	10.5x	n.m.	n.m.	0.0%	0.0%	1.0x	0.9x		
Brilliance	HKD	1,306	2.0	2.9	EW	0.4	0.3	0.3	12%	116%	102%	2.4x	1.9x	2.2x	1.8x	5.2x	5.3x	11%	9.6%	2.8x	2.0x		
Chongqing Changan	CNY	10,583	7.2	10.8	EW	0.4	0.5	0.6	5%	3%	4%	3.4x	2.0x	1.3x	1.0x	15.0x	12.2x	2.7%	3.3%	0.1x	0.1x		
FAW Car Company	CNY	4,493	6.2	NA	N.C.	0.2	0.3	0.5	15%	2%	3%	27.9x	14.8x	12.4x	10.9x	23.1x	13.0x	1.3%	2.4%	0.4x	0.4x		
Geely Automobile	HKD	25,311	18.3	28.0	OW	1.7	2.3	2.6	16%	6%	6%	3.4x	1.9x	2.4x	1.4x	7.5x	6.6x	2.6%	2.9%	0.2x	0.1x		
Great Wall	HKD	9,651	8.9	12.0	EW	1.1	1.1	1.2	2%	3%	4%	1.2x	n.m.	0.5x	n.m.	6.4x	5.7x	4.3%	4.8%	0.0x	n.m.		
Great Wall	CNY	19,388	15.4	14.0	UW	1.1	1.1	1.2	2%	3%	4%	10.1x	7.2x	3.8x	2.8x	12.8x	11.5x	2.1%	2.3%	0.3x	0.3x		
Guangzhou Automobile	HKD	2,882	2.2	3.9	OW	(0.2)	0.1	0.4	16%	n.m.	n.m.	n.m.	n.m.	1.5x	0.0x	16.5x	4.9x	0.0%	2.1%	0.1x	0.0x		
Guangzhou Automobile	CNY	7,884	5.3	4.0	UW	(0.2)	0.1	0.4	16%	n.m.	n.m.	n.m.	n.m.	8.8x	5.0x	45.1x	13.3x	0.0%	0.8%	0.4x	0.3x		
Jiangling Motors Company	HKD	1,055	9.7	NA	N.C.	1.6	NA	NA	9%	4%	4%	n.m.	n.m.	n.m.	n.m.	4.7x	4.1x	7.4%	8.1%	n.m.	n.m.		
SAIC Motor Corp	CNY	17,035	10.1	20.1	OW	0.9	1.3	1.7	3%	1%	2%	n.m.	n.m.	n.m.	n.m.	8.0x	6.1x	3.7%	6.4%	n.m.	n.m.		
BYD Company	CNY	118,824	88.5	120.0	OW	3.6	4.2	5.4	12%	5%	6%	17.1x	13.2x	6.1x	4.9x	21.2x	16.5x	2.1%	2.8%	0.9x	0.8x		
Nio Inc.	HKD	12,114	38.4	7.4	OW	(6.9)	(1.5)	0.4	34%	n.m.	n.m.	n.m.	n.m.	24.4x	8.4x	n.m.	103.1x	0.0%	0.0%	0.5x	0.3x		
Sinotruk	HKD	14,441	41.4	36.0	EW	2.5	2.9	3.4	11%	8%	8%	6.7x	5.0x	5.5x	4.1x	12.2x	10.5x	4.5%	5.3%	0.5x	0.4x		
Yutong Bus	CNY	9,436	28.9	40.2	EW	2.5	2.8	3.2	11%	15%	15%	7.4x	6.5x	6.7x	5.9x	10.2x	9.0x	8.5%	10.2%	1.1x	1.0x		
Weichai Power	HKD	38,979	35.5	47.0	OW	1.3	1.5	2.0	11%	8%	9%	10.7x	7.3x	6.2x	4.5x	19.8x	15.3x	2.7%	3.7%	0.8x	0.6x		
Zhengzhou Yutong Bus Co	CNY	9,436	28.9	40.2	EW	2.5	2.8	3.2	11%	15%	15%	7.4x	6.5x	6.7x	5.9x	10.2x	9.0x	8.5%	10.2%	1.1x	1.0x		
Korea		123,040							6%	7%	7%	9.0x	8.5x	6.3x	6.0x	10.1x	9.6x	3.0%	2.9%	0.6x	0.6x		
Hyundai Motor	KRW	84,394	492,000	700,000	OW	35,593	43,724	47,761	5%	6%	7%	12.6x	11.9x	8.8x	8.4x	11.4x	10.7x	2.4%	2.1%	0.8x	0.8x		
Kia Motors	KRW	38,647	152,000	210,000	OW	19,457	21,543	21,984	8%	7%	7%	1.1x	1.0x	0.9x	0.8x	7.2x	7.0x	4.2%	4.7%	0.1x	0.1x		
India		190,008							17%	12%	12%	26.8x	21.8x	19.4x	17.3x	30.7x	25.1x	1.3%	1.5%	3.1x	2.7x		
Ashok Leyland	INR	10,134	164	180	EW	5.4	6.7	7.6	12%	11%	12%	18.6x	16.2x	16.3x	14.1x	24.6x	21.7x	1.6%	1.8%	2.1x	1.9x		
Bajaj Auto	INR	28,714	9,783	9,259	UW	269.9	379	426	16%	20%	20%	21.6x	18.2x	20.8x	17.6x	25.8x	23.0x	2.8%	3.3%	4.3x	3.7x		
Hero MotoCorp	INR	10,200	4,855	6,537	OW	230.5	270	292	12%	13%	13%	13.2x	12.0x	11.6x	10.6x	18.0x	16.0x	3.2%	3.6%	1.7x	1.5x		
Mahindra & Mahindra	INR	40,976	3,138	4,222	OW	104.0	140	139	18%	11%	10%	21.5x	21.8x	17.1x	17.0x	22.4x	22.6x	1.0%	1.1%	2.5x	2.2x		
Maruti Suzuki	INR	47,426	14,365	17,895	OW	487.8	507	560	18%	8%	7%	25.9x	23.2x	17.8x	15.6x	28.3x	25.6x	1.0%	1.1%	2.1x	1.7x		
Tata Motors	INR	13,309	344	367	EW	52.3	7	33	6%	1%	4%	50.4x	9.5x	6.9x	4.1x	50.5x	10.5x	0.0%	0.0%	0.5x	0.4x		
TVS Motor	INR	18,090	3,626	4,327	OW	48.7	69	90	24%	11%	11%	33.7x	28.3x	28.8x	24.2x	52.9x	40.4x	0.4%	0.4%	3.7x	3.1x		
Eicher Motors	INR	21,158	7,340	7,763	EW	172.4	203	220	18%	21%	21%	36.1x	33.0x	31.0x	28.0x	36.1x	33.4x	1.1%	1.2%	7.7x	6.8x		

++ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time. NC = not covered by Morgan Stanley, estimates from Datastream. Source: Datastream, Morgan Stanley Research

Exhibit 29: Global Auto Parts comps

Prices date: July 6, 2026		Mkt Cap US\$ mn	Price		MS Rating	EPS			Revenue CAGR 25-27E	EBIT margin		EV/EBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue	
			Last	Target		2025	2026E	2027E		2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Suppliers		468,083							8%	10%	11%	17x	14x	12x	10x	22x	18x	2.0%	2.3%	2.0x	1.8x
Europe		50,917							1%	7%	7%	12x	10x	5x	5x	21x	14x	2.5%	3.3%	0.7x	0.7x
Audioliv	USD	8,702	116.2	125.0	EW	9.6	11.0	12.2	3%	11%	11%	9x	8x	6x	6x	11x	10x	3.0%	3.4%	0.9x	0.9x
Aumovio	EUR	4,539	39.1	NA	N.C.	(6.5)	2.5	4.7	-2%	4%	5%	4x	3x	2x	1x	20x	9x	0.6%	2.1%	0.2x	0.1x
EDAG Engineering	EUR	137	3.2	NA	N.C.	(1.3)	0.0	0.6	1%	2%	4%	30x	11x	7x	5x	n.m.	7x	0.4%	5.2%	0.5x	0.5x
Forvia	EUR	2,062	9.2	11.0	EW	(2.6)	1.9	2.4	0%	6%	6%	5x	4x	2x	2x	11x	4x	0.0%	3.8%	0.3x	0.3x
Schaeffler	EUR	9,504	8.8	NA	N.C.	(0.5)	0.4	0.7	2%	4%	5%	14x	10x	6x	5x	28x	14x	3.1%	3.8%	0.6x	0.6x
Gestamp	EUR	1,924	2.9	NA	N.C.	0.3	0.4	0.5	0%	5%	6%	8x	7x	4x	3x	8x	6x	3.0%	3.8%	0.4x	0.4x
Valeo S.A.	EUR	3,691	13.2	12.5	OW	1.3	1.9	2.4	1%	5%	5%	7x	6x	2x	2x	8x	6x	4.3%	5.4%	0.3x	0.3x
Brembo	EUR	3,909	10.7	NA	N.C.	0.7	0.7	0.8	3%	9%	10%	12x	11x	7x	6x	15x	13x	2.6%	2.8%	1.1x	1.1x
CIE	EUR	3,665	27.1	NA	N.C.	2.8	3.1	3.3	2%	14%	14%	8x	8x	6x	6x	9x	8x	4.2%	5.4%	1.1x	1.1x
Opmobility SE	EUR	2,260	13.8	++	++	1.3	1.5	1.7	1%	5%	5%	7x	6x	3x	3x	9x	8x	4.3%	4.9%	0.3x	0.3x
ErlingKlinger	EUR	365	5.0	NA	N.C.	0.5	0.7	1.0	3%	6%	7%	9x	7x	4x	3x	7x	5x	4.3%	6.3%	0.5x	0.5x
Autoneum Holding	CHF	853	116.2	NA	N.C.	10.3	10.7	12.5	0%	6%	6%	9x	8x	5x	4x	11x	9x	3.0%	3.7%	0.5x	0.5x
Hella	EUR	9,307	72.4	NA	N.C.	0.8	1.8	2.2	0%	5%	5%	23x	19x	9x	8x	44x	34x	0.8%	1.0%	1.1x	1.0x
North America		140,415							6%	13%	14%	18x	16x	15x	13x	22x	19x	1.4%	1.5%	2.6x	2.4x
Dauch Corporation	USD	1,218	5.1	7.0	EW	(0.1)	0.1	0.9	35%	4%	6%	16x	10x	5x	4x	47x	6x	0.0%	0.0%	0.6x	0.6x
BorgWarner Inc.	USD	13,029	63.5	67.0	EW	1.8	5.2	5.3	1%	11%	11%	9x	8x	6x	6x	12x	12x	0.8%	0.9%	1.0x	0.9x
Johnson Controls	USD	85,880	140.8	NA	N.C.	3.8	4.9	5.8	7%	15%	17%	24x	21x	20x	18x	29x	25x	1.1%	1.2%	3.7x	3.5x
Lear	USD	6,555	130.9	130.0	EW	12.8	14.7	17.9	3%	5%	5%	7x	6x	5x	4x	9x	8x	2.4%	2.4%	0.3x	0.3x
Magna International	USD	17,066	62.7	65.0	EW	5.7	7.2	7.9	2%	8%	7%	6x	7x	5x	4x	9x	9x	3.2%	3.2%	0.5x	0.5x
Visteon	USD	2,735	102.5	130.0	EW	9.9	8.7	10.4	5%	8%	9%	7x	6x	5x	5x	12x	10x	1.5%	1.6%	0.6x	0.6x
Adient	USD	1,471	18.8	22.0	EW	1.9	2.2	3.5	3%	4%	4%	5x	5x	4x	3x	9x	6x	14.0%	14.6%	0.2x	0.2x
Apiv	USD	12,462	58.9	71.0	OW	3.5	6.1	7.5	6%	14%	15%	9x	8x	7x	6x	10x	8x	0.0%	0.0%	1.3x	1.2x
Japan		108,153							3%	7%	7%	7x	7x	4x	4x	13x	12x	3.3%	3.7%	0.5x	0.5x
Aisin Corp.	JPY	9,787	2,367	2,300	EW	231.7	216	255	3%	5%	5%	5x	4x	2x	2x	10x	9x	3.2%	3.8%	0.2x	0.2x
Denso	JPY	32,638	1,992	2,200	EW	161.1	156	183	2%	7%	7%	7x	6x	4x	4x	13x	12x	3.8%	4.0%	0.5x	0.4x
EXEDY	JPY	1,366	6,130	5,200	EW	374.4	434	451	1%	7%	8%	9x	8x	6x	5x	14x	14x	5.7%	6.0%	0.7x	0.6x
Koito Mfg.	JPY	4,237	2,647	2,900	EW	109.0	177	238	2%	7%	8%	7x	5x	4x	3x	15x	12x	2.3%	2.6%	0.5x	0.4x
NHK Spring	JPY	5,144	4,064	4,400	OW	142.4	238	272	6%	7%	8%	13x	12x	9x	8x	17x	15x	1.7%	2.0%	0.9x	0.9x
NOK	JPY	2,908	2,992	3,000	EW	198.3	220	223	1%	5%	5%	11x	10x	5x	4x	13x	13x	4.7%	5.0%	0.5x	0.5x
Stanley Electric	JPY	2,746	3,678	3,750	EW	203.6	271	316	11%	9%	9%	9x	8x	5x	5x	13x	12x	3.0%	3.5%	0.8x	0.8x
Toyoda Gosei	JPY	3,802	5,291	6,300	OW	494.1	505	572	5%	7%	7%	7x	6x	4x	4x	11x	10x	3.3%	3.5%	0.5x	0.4x
Toyota Boshoku	JPY	2,491	2,267	2,500	EW	130.3	291	311	3%	4%	4%	4x	3x	2x	2x	8x	7x	3.8%	4.0%	0.2x	0.1x
Toyota Industries	JPY	38,098	20,450	NA	N.C.	NA	NA	NA	n.m.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Nifco	JPY	2,914	5,163	5,800	OW	360.9	386	463	4%	14%	15%	7x	6x	5x	5x	13x	12x	2.3%	2.7%	1.0x	0.9x
Musashi Seimitsu Industry	JPY	1,676	3,855	7,500	EW	122.1	130	250	5%	6%	8%	16x	12x	9x	7x	32x	16x	1.0%	2.1%	1.0x	0.9x
Unipres	JPY	346	1,270	1,100	EW	74.7	157	168	0%	4%	4%	4x	3x	2x	1x	8x	7x	5.1%	5.5%	0.2x	0.1x
China		111,940							16%	12%	13%	25x	18x	17x	13x	27x	22x	2.1%	2.6%	2.9x	2.5x
Mint Group Limited	HKD	4,231	29.6	51.0	OW	2.3	2.6	3.4	14%	11%	13%	10x	7x	8x	6x	10x	7x	3.6%	4.6%	1.1x	1.0x
Ningbo Joyson	CNY	5,319	22.8	25.0	EW	0.9	1.1	1.4	6%	5%	6%	12x	10x	8x	7x	21x	17x	1.0%	1.3%	0.6x	0.6x
Nesteer Automotive	HKD	1,322	4.1	6.3	EW	0.1	0.1	0.1	8%	5%	6%	3x	2x	1x	1x	8x	7x	4.3%	5.0%	0.1x	0.1x
Foryou Corporation	CNY	2,050	25.6	42.0	OW	1.5	1.8	2.3	17%	7%	7%	13x	10x	9x	7x	15x	11x	2.4%	3.1%	0.9x	0.8x
Changzhou Xingyu	CNY	4,195	102.3	176.0	OW	5.7	6.7	8.9	24%	11%	12%	12x	8x	9x	7x	15x	11x	2.3%	3.0%	1.3x	1.0x
NavInfo Co	CNY	2,262	6.5	5.5	UW	0.0	(0.3)	(0.3)	11%	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	0.0%	0.0%	3.2x	3.1x
Keboda	CNY	2,637	44.1	78.0	OW	2.1	2.4	3.2	22%	13%	14%	15x	11x	12x	9x	19x	14x	1.6%	2.2%	2.0x	1.6x
Ningbo Xusheng	CNY	2,203	12.9	12.0	EW	0.3	0.5	0.6	13%	12%	13%	24x	20x	13x	11x	27x	22x	1.9%	2.3%	2.8x	2.6x
Suzhou Recodeal	CNY	3,505	83.8	121.0	OW	1.0	1.6	2.5	56%	11%	13%	39x	22x	30x	19x	52x	33x	0.4%	0.6%	4.4x	2.9x
Beijing Jingwei	CNY	1,198	69.5	72.0	UW	0.8	0.9	1.6	21%	2%	3%	53x	33x	21x	16x	73x	42x	0.4%	0.8%	1.0x	0.9x
Bethel Automotive	CNY	3,660	26.7	41.0	OW	1.5	1.7	2.0	16%	13%	13%	12x	10x	10x	8x	16x	14x	1.1%	1.3%	1.6x	1.3x
Ningbo Tuopu	CNY	16,000	60.6	62.0	EW	1.6	1.9	2.3	16%	10%	11%	29x	23x	19x	15x	33x	27x	0.9%	1.2%	3.0x	2.5x
Huizhou Desay	CNY	7,612	84.6	151.0	OW	4.3	4.9	5.9	17%	8%	8%	16x	13x	10x	10x	18x	15x	1.8%	2.1%	1.3x	1.1x
Zhejiang Sanhua	CNY	30,383	46.2	40.0	EW	1.0	1.1	1.4	12%	15%	15%	39x	31x	30x	25x	44x	36x	0.7%	0.8%	5.6x	4.8x
Fuyao Glass	HKD	17,219	54.3	53.5	EW	3.6	3.8	4.5	14%	22%	23%	10x	8x	7x	6x	12x	10x	4.7%	5.7%	2.1x	1.8x
Huayu Automotive	CNY	7,486	16.3	22.7	OW	2.3	2.5	2.9	4%	4%	4%	2x	1x	1x	1x	6x	6x	6.7%	7.7%	0.1x	0.0x
Korea		33,371							4%	6%	6%	5x	4x	3x	3x	10x	9x	1.2%	1.7%	0.3x	0.2x
Hanon Systems	KRW	2,585	3,770	3,000	UW	(267)	202	226	2%	4%	4%	14x	13x	5x	5x	19x	17x	0.0%	0.0%	0.5x	0.5x
Hyundai MOBIS	KRW	28,824	515,000	600,000	OW	40,995	57,520	63,318	5%	6%	6%	4x	3x	3x	2x	9x	8x	1.3%	1.8%	0.2x	0.2x
SNT Motiv	KRW	413	27,050	NA	N.C.	NA	NA	NA	n.m.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
HL Mando Corp	KRW	1,548	49,700	61,000	EW	2,121	4,364	4,777	2%	4%	4%	9x	8x	5x	5x	12x	11x	1.5%	1.8%	0.4x	0.4x
India		23,287							14%	11%	12%	38x	29x	26x	21x	55x	39x	0.5%	0.6%	4.7x	4.0x
Exide Industries	INR	3,719	416	391	OW	12.7	13.2	15.7	6%	8%	9%	25x	20x	18x	15x	31x	26x	0.5%	0.5%	2.1x	1.9x
Bharat Forge	INR	10,734	2,138	2,233	OW	23.0	25.8	38.9	14%	12%	13%	55x	41x	36x	29x	83x	55x	0.4%	0.5%	6.4x	5.3x
Motherson Sumi Systems	INR	2,875	41	150	OW	3.5	3.9	4.8	16%	5%	5%	5x	4x	3x	2x	7x	5x	0.5%	0.7%	0.2x	0.2x
Sona BLW Precision	INR	4,312	667.6	NA	N.C.	10.7	13.0	17.0	20%	19%	20%	40x</									

Exhibit 30: Global Tyres comps

Prices date:	Mkt Cap		Price		MS	EPS			Revenue	EBIT margin		EV/EBIT		EV/EBITDA		P/E		Dividend Yield		EV/Revenue	
July 6, 2026	Crrc.	US\$ mn	Last	Target	Rating	2025	2026E	2027E	CAGR 25-27E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Tyres		138,472							4%	11%	12%	10x	9x	6x	6x	14x	12x	3.0%	3.6%	1.1x	1.1x
Europe		55,490							0%	12%	13%	10x	8x	6x	6x	14x	12x	3.3%	4.0%	1.1x	1.1x
Continental	EUR	17,389	74.6	62.0	EW	(2.2)	5.7	6.9	-3%	12%	12%	10x	8x	7x	6x	13x	11x	2.6%	3.3%	1.1x	1.0x
Michelin	EUR	27,412	35.0	30.0	EW	3.0	3.2	3.6	0%	11%	12%	10x	8x	6x	5x	13x	11x	3.7%	4.6%	1.0x	1.0x
Nokian Tyres	EUR	2,025	13.0	NA	N.C.	(0.1)	0.4	0.8	6%	8%	10%	22x	15x	10x	8x	39x	19x	2.2%	3.0%	1.7x	1.6x
Pirelli & C. SpA	EUR	8,665	7.0	6.5	EW	0.5	0.5	0.6	2%	16%	16%	8x	7x	5x	5x	15x	12x	3.4%	4.0%	1.3x	1.2x
North America		2,358							n.a.	4%	5%	8x	8x	5x	4x	10x	8x	0.0%	0.0%	0.4x	0.4x
Goodyear T&R	USD	1,894	6.6	6.6	UW	0.9	0.7	1.3	-1%	5%	6%	8x	6x	4x	3x	10x	5x	0.0%	0.0%	0.4x	0.4x
Titan International	USD	464	7.2	NA	N.C.	(0.3)	(0.1)	0.4	4%	0%	3%	n.m.	17x	9x	7x	n.m.	22x	n.a.	n.a.	0.5x	0.5x
Japan		42,522							4%	12%	13%	8x	8x	5x	5x	12x	11x	3.3%	3.8%	1.0x	0.9x
Bridgestone	JPY	27,507	3,606.0	3,600	EW	238.4	282	328	3%	11%	12%	8x	8x	5x	5x	13x	12x	3.5%	3.9%	1.0x	1.0x
Sumitomo Rubber	JPY	3,660	2,299.0	2,350	EW	191.6	204	261	5%	7%	9%	8x	6x	5x	4x	11x	9x	3.7%	4.6%	0.6x	0.5x
Yokohama Rubber	JPY	7,659	7,919.0	8,000	EW	668.6	812	890	6%	15%	15%	8x	7x	6x	5x	10x	9x	2.5%	3.0%	1.2x	1.1x
Toyo Tire & Rubber	JPY	3,696	3,987.0	5,000	OW	460.0	444	537	6%	15%	16%	6x	5x	4x	4x	9x	8x	3.8%	4.0%	0.9x	0.8x
China		16,647							13%	10%	11%	11x	9x	6x	6x	12x	11x	3.5%	4.0%	1.1x	0.9x
Cheng Shin Rubber	TWD	3,259	32.6	29.5	UW	1.5	1.6	1.6	0%	8%	8%	13x	12x	6x	6x	20x	20x	3.9%	4.0%	1.0x	0.9x
Shandong Linglong Tyre	CNY	2,318	11.0	NA	N.C.	0.9	0.9	1.3	13%	6%	8%	17x	11x	7x	6x	12x	8x	3.1%	4.1%	0.9x	0.9x
Sailun Group	CNY	5,922	13.0	NA	N.C.	1.1	1.4	1.6	18%	12%	13%	10x	8x	7x	6x	9x	7x	3.3%	3.8%	1.2x	1.0x
Kenda Rubber	TWD	530	17.9	NA	N.C.	0.1	0.3	n.a.	n.m.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.m.	22x	n.a.	n.a.	n.a.	n.a.
Triangle Tyre	CNY	1,557	13.7	NA	N.C.	1.2	1.2	1.4	6%	10%	11%	8x	7x	6x	5x	11x	9x	3.7%	3.7%	0.8x	0.7x
Qingdao Sentury Tire	CNY	2,083	14.0	NA	N.C.	1.1	1.5	2.0	21%	16%	18%	8x	6x	5x	4x	9x	7x	4.0%	5.0%	1.3x	1.1x
Guizhou Tyre	CNY	977	4.4	NA	N.C.	n.a.	0.5	0.6	21%	7%	7%	10x	9x	n.a.	n.a.	9x	7x	2.9%	2.9%	0.8x	0.7x
Korea		6,712							4%	9%	9%	5x	5x	3x	3x	6x	5x	3.2%	4.2%	0.5x	0.4x
Hankook Tire	KRW	5,372	70,500.0	83,000	OW	8,795	11,200	12,532	4%	9%	10%	5x	4x	3x	3x	6x	5x	3.7%	5.1%	0.5x	0.4x
Kumho Tire	KRW	891	6,160.0	NA	N.C.	1,217.3	1,118.2	1,183.8	2%	10%	10%	6x	5x	3x	3x	4x	4x	0.0%	0.0%	0.6x	0.6x
Nexen Tire	KRW	450	6,920.0	NA	N.C.	1,514.8	1,442.0	1,710.5	2%	6%	6%	11x	9x	4x	4x	5x	4x	2.4%	2.4%	0.6x	0.6x
India		14,743							10%	11%	11%	20x	16x	13x	11x	25x	20x	0.7%	0.9%	2.3x	2.0x
Apollo Tyres	INR	2,996	455.3	433	EW	20.3	28.8	28.5	10%	9%	9%	12x	12x	8x	7x	16x	16x	1.4%	1.9%	1.1x	1.0x
JK Tyre	INR	1,249	409.4	NA	N.C.	40.1	38.2	47.7	12%	8%	9%	11x	9x	9x	7x	14x	11x	1.2%	1.4%	0.9x	0.8x
MRF	INR	5,991	135,574.2	NA	N.C.	5,728.8	5,417.9	7,335.9	10%	8%	10%	20x	16x	12x	10x	25x	20x	0.2%	0.2%	1.7x	1.5x
Balkrishna Industries	INR	4,507	2,207.7	2,089	UW	85.6	65.6	87.1	11%	16%	16%	27x	22x	19x	16x	34x	25x	0.9%	1.2%	4.3x	3.5x

Source: FactSet (inc consensus estimates), Morgan Stanley Research estimates (E). Note: Share prices as of July 6th, 2026. NA = not applicable, NC = not covered, nm = not meaningful.

Valuation Methodology and Risks

BMW (BMWG.DE)

We value BMW on ~9.2x estimated FY26 EPS of ~€9.9. This multiple reflects continued industry concern about price/mix normalisation and profitability of premium OEMs in China. It is above the stock's long-term average of ~9x, reflecting an improving risk/reward skew following a better geopolitical environment, as well as BMW's track record for margin stability, whilst taking into consideration market risks.

Risks to Upside

- EBIT margins remaining elevated for longer than expected
- Shares' multiples rising as economic expectations improve
- BMW proving less vulnerable to BEV competition/price cuts than many expect

Risks to Downside

- Auto demand growth slowing again as economic growth fails to pick up
- BEV competition impacting China / global market share / margins
- BMW accelerating investment to meet future BEV plans

Mercedes-Benz Group AG (MBGn.DE)

We apply 11.2x FY26e P/E multiple, just below the long-term average, but above recent historical averages, reflecting Mercedes' strategic approach to shareholder returns through paying out 100% of FCF. We remain concerned about price/mix normalisation and China margins, but think the company's cash return strategy continues to drive outperformance. Our PT is based off FY26e EPS of ~€5.8, a decline from recent years but closer to pre-Covid levels.

Risks to Upside

- Higher valuation multiples for Mercedes Cars, with much higher EBIT margins / FCF
- Mercedes' BEV story changing the investment narrative
- Execution enabling EPS to stay higher and less cyclical than historically

Risks to Downside

- Global credit (and/or China) economic conditions and sentiment remaining weak
- Weaker pricing of Mercedes cars on tougher comps
- Consistently higher investment needs due to global competition

Volkswagen (VOWG_p.DE)

We select a 5.2x FY26e P/E multiple, above the 3-year average of ~5x. We apply this to estimated FY26 EPS of €19.2, driving a €100 PT. Our 5.2x multiple reflects an improving risk/reward, given Volkswagen's product pipeline and cost-cutting plans. However, our concerns about price/mix normalisation weighing on VW earnings in FY26 remain for now. We also expect high R&D and capex levels to continue.

Risks to Upside

- VW's underlying margins proving resilient in FY26 as price remains solid

- Successful execution on cost-cutting processes
- Share gains in the Chinese BEV segment

Risks to Downside

- Sharp decline in global demand/pricing undermining legacy ICE margins
- BEV margin dilution accelerating with weaker pricing
- China growth remaining slow and VW share losses continuing

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

BMW (BMW.DE) - As of 07/06/26 GMT in EUR
Industry : Autos & Shared Mobility



Stock Rating History: 7/1/21 : U/I; 4/26/23 : E/I; 5/20/24 : E/C; 11/12/24 : O/I

Price Target History: 4/16/21 : 80; 10/27/21 : 85; 11/8/21 : 90; 1/25/23 : 85; 4/26/23 : 90; 7/13/23 : 100; 5/20/24 : 108; 8/8/24 : 102; 10/14/24 : 85; 2/3/26 : 106; 3/30/26 : 96; 6/16/26 : 91

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Mercedes-Benz Group AG (MBGn.DE) - As of 07/06/26 GMT in EUR
Industry : Autos & Shared Mobility



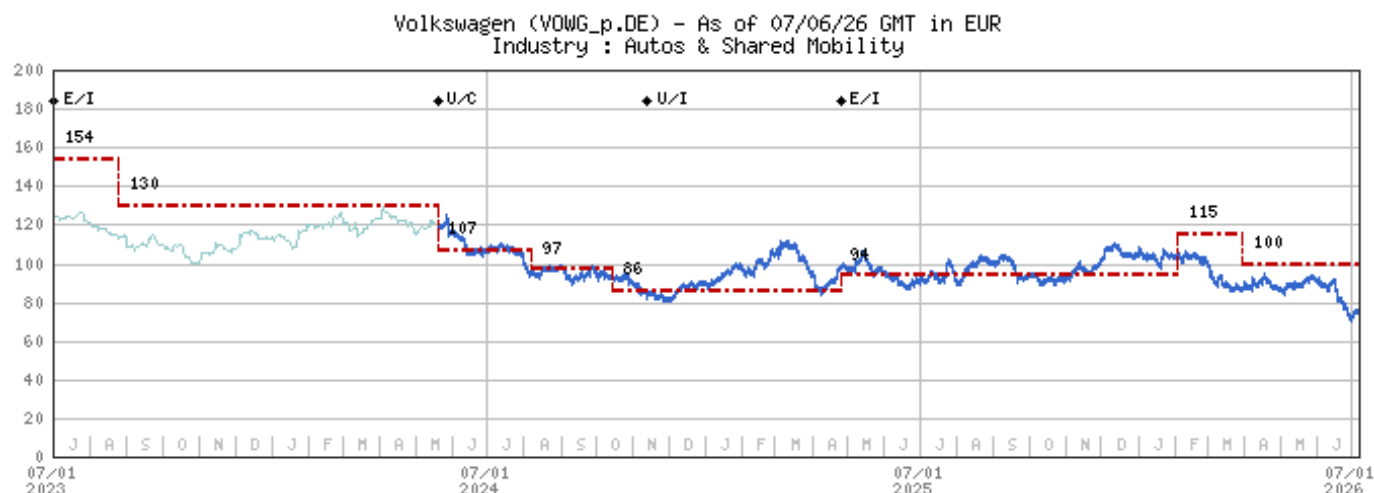
Stock Rating History: 7/1/21 : O/I; 12/14/21 : E/I; 5/20/24 : O/C; 11/12/24 : O/I

Price Target History: 4/19/21 : 80; 12/14/21 : 70; 2/27/23 : 72; 5/11/23 : 73.5; 11/10/23 : 70; 5/20/24 : 90; 8/8/24 : 82; 10/14/24 : 72; 4/25/25 : 64; 2/3/26 : 73; 3/30/26 : 65

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



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INDUSTRY COVERAGE: Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/03/2026)
Javier Martinez de Olcoz Cerdan		
Autoliv (ALV.N)	E (09/24/2021)	US\$116.24
BMW (BMWG.DE)	O (11/12/2024)	€60.56
Continental AG (CONG.DE)	E (06/26/2025)	€75.98
Forvia (FRVIA.PA)	E (03/19/2024)	€9.15
Mercedes-Benz Group AG (MBGn.DE)	O (05/20/2024)	€45.24
Michelin (MICP.PA)	E (12/02/2025)	€34.84
Opmobility SE (OPM.PA)	++	€13.82
Pirelli & C SpA (PIRC.MI)	E (09/28/2025)	€6.98
Porsche AG (P911_p.DE)	U (05/20/2024)	€45.97
Renault (RENA.PA)	U (02/03/2026)	€26.37
Stellantis (STLAM.MI)	E (02/03/2026)	€4.93
Stellantis (STLA.N)	E (02/03/2026)	US\$5.81
Valeo SE (VLOF.PA)	O (06/26/2025)	€13.28
Volkswagen (VOWG_p.DE)	E (04/25/2025)	€74.66
Shaqeal A Kirunda		
Aramis Autos (ARAMI.PA)	O (02/19/2026)	€2.95
AUTO1 Group SE (AG1G.DE)	E (03/26/2024)	€25.30
Daimler Truck Holding AG (DTGGe.DE)	O (01/28/2022)	€44.01
Iveco Group NV (IVG.MI)	++	€13.93
Traton SE (8TRA.DE)	U (01/13/2026)	€35.14
Volvo (VOLVb.ST)	E (01/13/2026)	SKr 337.70

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* Historical prices are not split adjusted.